

Singapore Banks

Booking gains in OCBC; downgrade to Neutral

OCBC is one of the biggest beneficiaries of flows into Singapore as a wealth management hub ([link](#)). Bank of Singapore, GEH, Lion Global, as well as footprint in HK, Dubai and Malaysia in addition to Singapore allows the bank to benefit across various tiers of the wealth management value chain (mass, affluent and HNWI). These positives appear to be fully priced in at 1.45x fwd book (for 11.8% 2026 RoE). We nudge our estimates by 1% on NIM, with our estimates 2%/3%/1% below the Street for 2025/26/27. Consequently, we expect limited revisions for the stock over the next 6M. Further, the possibility of the bank committing to yet another round of capital management before 1H26 results also appears low. Hence, we downgrade the stock to N from OW, with Dec-26 PT of S\$20.50 (prev. S\$20). Our pecking order in the sector is DBS > UOB > OCBC into 4Q25 results, post our discussions with banks today. We continue to hold OW on DBS and N on UOB.

DBS: The bank continues to deliver sector-leading RoE, and the quantum of excess capital (stock and flow) as well as management's willingness to pay that out is a multi-year edge. Hence, we expect dividend yield and CoE compression for DBS to drive a re-rating over the course of the year. We stay with our street-high PT of S\$70 (Dec-26). Our discussions with the bank suggest consistent focus on NII (over NIM), gradual unwind of S\$200bn of hedges (3Y duration with about 2/3 of ~S\$80bn expiring in 2026 likely being put back on), benign asset quality, robust non-II outlook (with weak 4Q seasonality on WM, IB and treasury), steady NNM growth (even if WM transaction/fee slows in 4Q), ~5% cost growth and a commitment to return S\$8bn of capital via special dividend and buybacks; over and above 6c increase in regular quarterly cash DPS in 4Q25.

UOB: The main focus for investors during our discussion was on credit costs post higher NPL formation (GC/US CRE, as well as TH) and re-architecting the WM/PB offering at UOB. The guidance of '25 to 30bps' credit costs for 4Q25 and 2026 appears reasonable, which led us to trim our provision estimates by a couple of bps. We are still forecasting 32-33bps, since there are limited grounds to be conclusive. The bank appears to have looked ahead in terms of credit risks during the 3Q review, so that incremental NPL formation moves closer to 25-30bps range (3Q25 formation of S\$838mn amounts to 97bps vs. 45bps over previous eight quarters). On PB, UOB appears to be moving in a deliberate manner to build on a small but quite a profitable franchise. Overall, we came back less worried on UOB, and hence see the stock holding better than OCBC into 4Q25 results.

OCBC: The discussions did not yield any new insights, but did not give us reasons to believe that excess capital at the bank will be paid out at a faster pace. We expect the incoming CEO to layout a path for the bank's growth during the 4Q25 briefing, with details on capital management coming later. Given that the credit growth environment is relatively muted and non-II growth is fairly well understood, we do not see a further re-rating on the back of communication of organic growth plans. The bank is likely to work through the ongoing buyback (~S\$630mn remaining as per our calculations), which will be used only by late this year. Hence, we believe the stock lacks a catalyst, which should lead to a period of consolidation.

See page 31 for analyst certification and important disclosures, including non-US analyst disclosures.

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APAC Banks

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	126,887	SGD	57.34	OW	n/c	70.00	Dec-26	n/c	n/c
OCBC Bank	OCBC SP	70,628	SGD	20.17	N	OW	20.50	Dec-26	20.00	n/c
United Overseas Bank (UOB)	UOB SP	46,392	SGD	36.01	N	n/c	34.00	Dec-26	n/c	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 08 Jan 26.

Booking gains in OCBC

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Downgrading OCBC to Neutral following strong performance

Table 1: Singapore Banks: PT and Rating changes

Company	Old rating	New rating	Old PT (\$)	New PT (\$)	Change in PT
DBS	OW	OW	70.0	70.0	0%
OCBC	OW	N	20.0	20.5	2%
UOB	N	N	34.0	34.0	0%

Source: J.P. Morgan estimates.

Our EPS estimates are modestly below Street

Table 2: Singapore Banks: PT vs Street

EPS	EPSg y/y			JPM vs Street		
	2025E	2026E	2027E	2025E	2026E	2027E
DBS	-1%	0%	7%	0%	-1%	0%
OCBC	-3%	0%	7%	-2%	-3%	-1%
UOB	-23%	21%	11%	-2%	-4%	0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

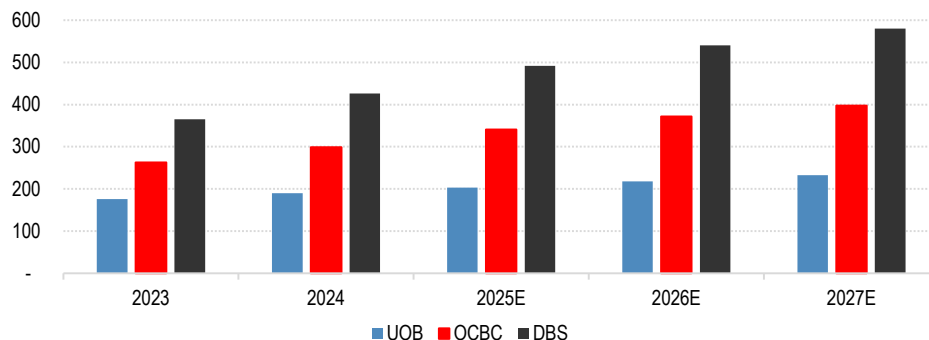
Table 3: Singapore Banks: Valuation

Bank	Price (\$)	Rating	PT (\$)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
DBS	57.34	OW	70.00	14.4	14.4	2.33	2.21	5.3	5.8	16.5	15.7
OCBC	20.17	N	20.50	12.5	12.5	1.52	1.45	5.0	5.0	12.4	11.9
UOB	36.01	N	34.00	13.1	10.9	1.26	1.20	5.1	4.6	9.7	11.3
Sector				13.6	13.2	1.89	1.80	5.2	5.3	14.0	13.8

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 8 Jan, 2026.

DBS and OCBC lead in wealth management, benefiting from flows into SG

Figure 1: Singapore Banks: AuM trends



Source: Company reports and J.P. Morgan estimates.

DBS continues to offer the highest dividend and total yields in the sector

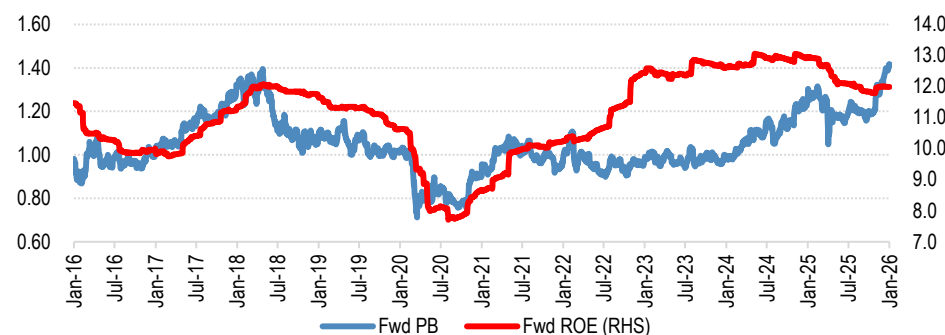
Table 4: Singapore Banks: Total yields

SG Banks yields	DBS			OCBC			UOB		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Regular DPS	2.46	2.70	2.88	0.80	0.80	0.86	1.54	1.68	1.84
Special DPS	0.60	0.60	0.60	0.21	0.21	0.15	0.25	-	-
Total DPS	3.06	3.30	3.48	1.01	1.01	1.01	1.79	1.68	1.84
Yield									
Regular	4.3%	4.7%	5.0%	4.0%	4.0%	4.2%	4.3%	4.7%	5.1%
Special	1.0%	1.0%	1.0%	1.0%	1.0%	0.8%	0.7%	0.0%	0.0%
Total	5.3%	5.8%	6.1%	5.0%	5.0%	5.0%	5.0%	4.7%	5.1%
Payout									
Regular payout	63%	68%	68%	50%	50%	50%	58%	50%	50%
Regular + special payout	78%	83%	82%	63%	63%	59%	67%	50%	50%
Regular + special + buyback payout	82%	97%	94%	69%	71%	66%	81%	62%	61%
Total buyback (\$\$ mn)	450	1,500	1,500	370	630	600	700	750	750
Buyback amt. per share	0.16	0.54	0.54	0.08	0.14	0.14	0.43	0.47	0.48
Yield on buyback	0.3%	0.9%	0.9%	0.4%	0.7%	0.7%	1.2%	1.3%	1.3%
Total yields	5.6%	6.7%	7.0%	5.4%	5.7%	5.7%	6.2%	6.0%	6.4%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 8 Jan, 2026.

Valuations for OCBC have moved close to fair post recent rally

Figure 2: OCBC: 12m fwd PB vs RoE trends



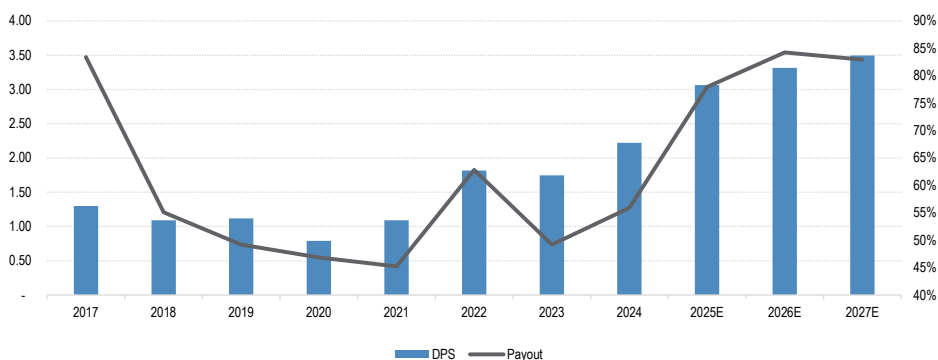
Source: Bloomberg Finance L.P. estimates. Data as of 8 Jan, 2026.

DBS: Best-in-class capital generation and distribution

The bank continues to deliver sector-leading RoE, and the quantum of excess capital (stock and flow) as well as management's willingness to pay that out is a multi-year edge. Hence, we expect dividend yield and CoE compression for DBS to drive a re-rating over the course of the year. We stay with our street-high PT of S\$70 (Dec-26). Our discussions with the bank suggest consistent focus on NII (over NIM), gradual unwind of S\$200bn of hedges (3Y duration with about 2/3 of ~S\$80bn expiring in 2026 likely being put back on), benign asset quality, robust non-II outlook (with weak 4Q seasonality on WM, IB and treasury), steady NNM growth (even if WM transaction/fee slows in 4Q), ~5% cost growth and a commitment to return S\$8bn of capital via special dividend and buybacks; over and above 6c increase in regular quarterly cash DPS in 4Q25

Expect consistent increases in DPS over 2026/27

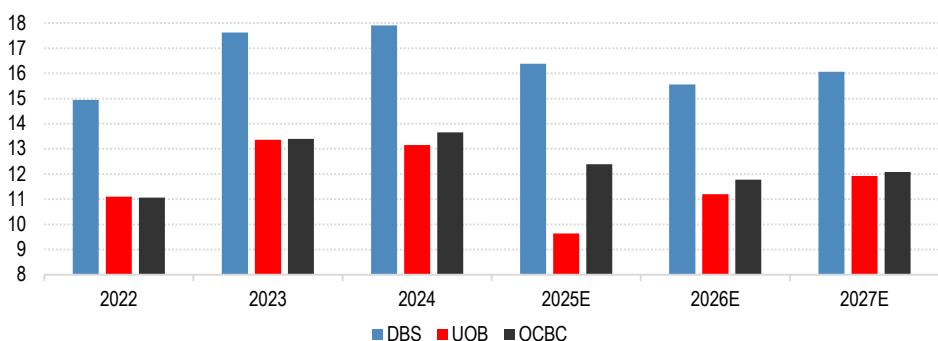
Figure 3: DBS: Payout vs DPS trends



Source: Company reports and J.P. Morgan estimates.

DBS continues to lead in ROE delivery, supporting strong capital generation

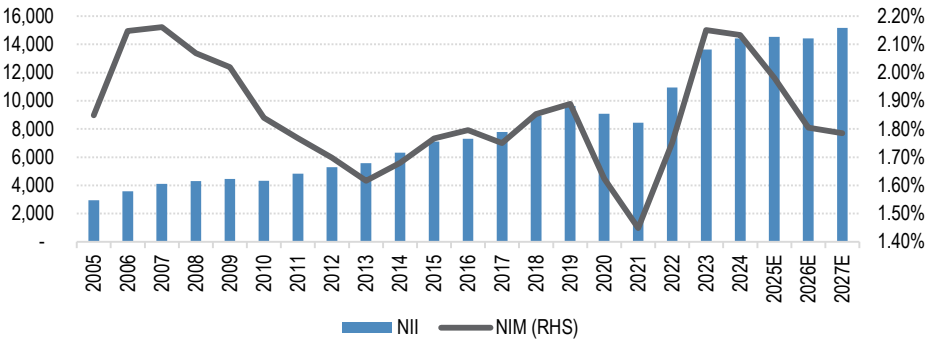
Figure 4: Singapore banks' ROE



Source: Company reports and J.P. Morgan estimates.

Focus on NII shines through

Figure 5: DBS: NII vs NIM

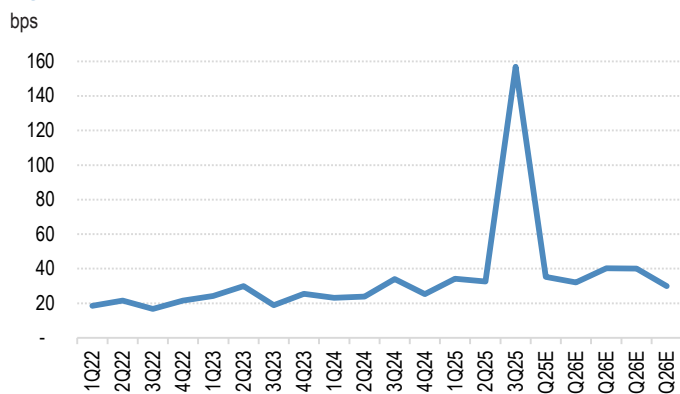


Source: Company reports and J.P. Morgan estimates.

UOB: In a holding pattern, AQ and credit costs key to next move

The main focus for investors during our discussion was on credit costs post higher NPL formation (GC/US CRE, as well as TH) and re-architecting the WM/PB offering at UOB. The guidance of '25 to 30bps' credit costs for 4Q25 and 2026 appears reasonable, which led us to trim our provision estimates by a couple of bps. We are still forecasting 32-33bps, since there are limited grounds to be conclusive. The bank appears to have looked ahead in terms of credit risks during the 3Q review, so that incremental NPL formation moves closer to 25-30bps range (3Q25 formation of S\$838mn amounts to 97bps vs. 45bps over previous eight quarters). On PB, UOB appears to be moving in a deliberate manner to build on a small but quite a profitable franchise. Overall, we came back less worried on UOB, and hence see the stock holding better than OCBC into 4Q25 results.

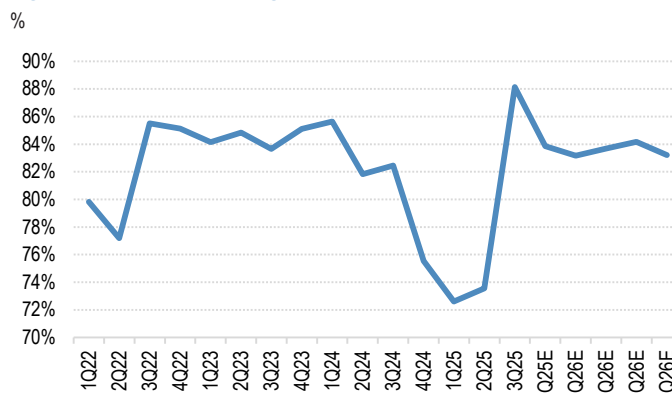
Figure 6: UOB: Credit Costs



Source: Company reports and J.P. Morgan estimates.

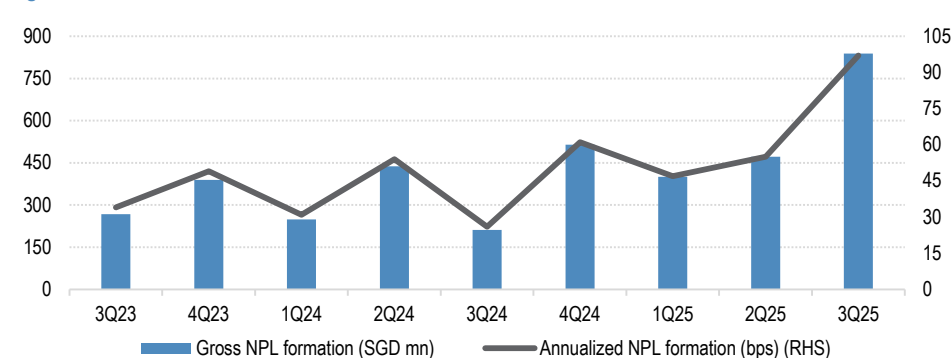
NPL formation has spiked, but could normalize from here

Figure 7: UOB: NPL Coverage



Source: Company reports and J.P. Morgan estimates.

Figure 8: UOB: Gross NPL formation



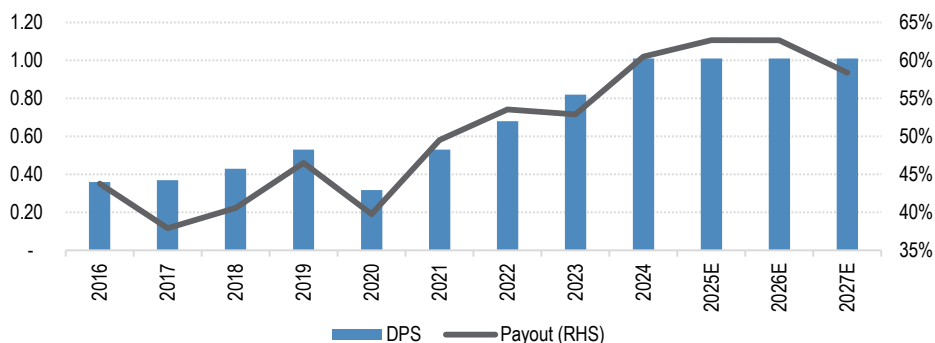
Source: Company reports.

OCBC: Fair valuations and lack of catalysts; d/g to N

The discussions did not yield any new insights, but did not give us reasons to believe that excess capital at the bank will be paid out at a faster pace. We expect the incoming CEO to layout a path for the bank's growth during the 4Q25 briefing, with details on capital management coming later. Given that the credit growth environment is relatively muted and non-II growth is fairly well understood, we do not see a further re-rating on the back of communication of organic growth plans. The bank is likely to work through the ongoing buyback (~S\$630mn remaining as per our calculations), which will be used only by late this year. Hence, we believe the stock lacks a catalyst, which should lead to a period of consolidation.

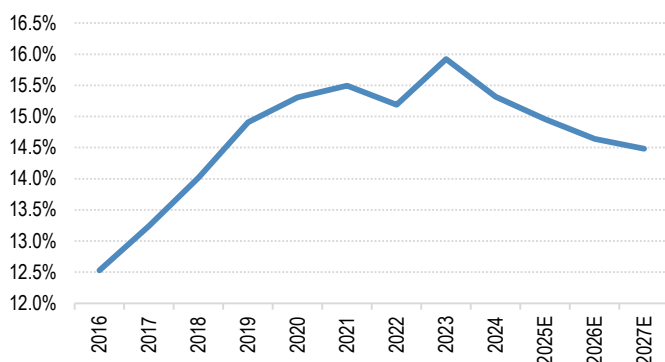
Limited visibility on further increases in payout for now

Figure 9: OCBC: Payout vs DPS trends



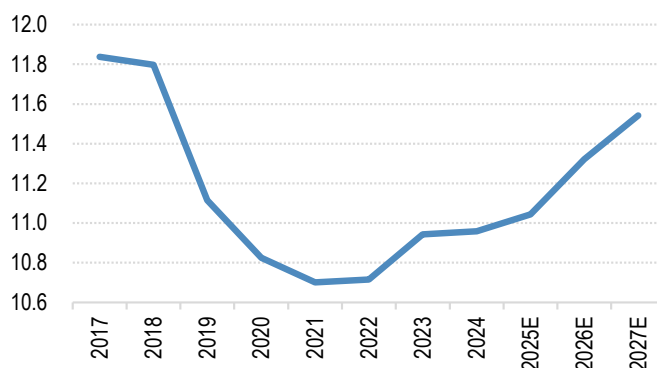
Source: Company reports and J.P. Morgan estimates.

Figure 10: OCBC: Fully phased in CET1 ratio (%)



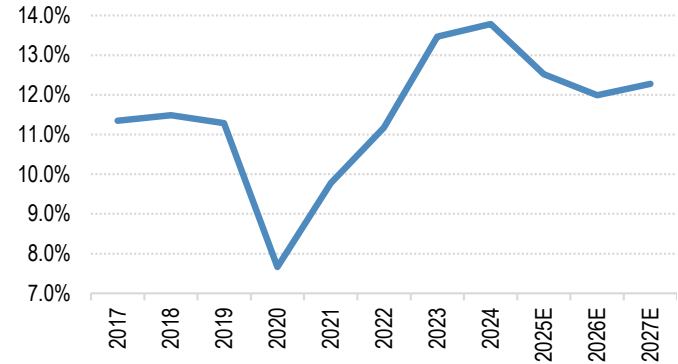
Source: Company reports and J.P. Morgan estimates.

Figure 11: OCBC: Equity/assets



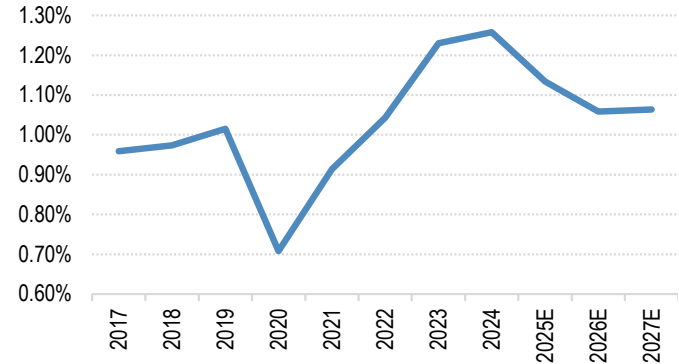
Source: Company reports and J.P. Morgan estimates.

Figure 12: OCBC: ROE (%)



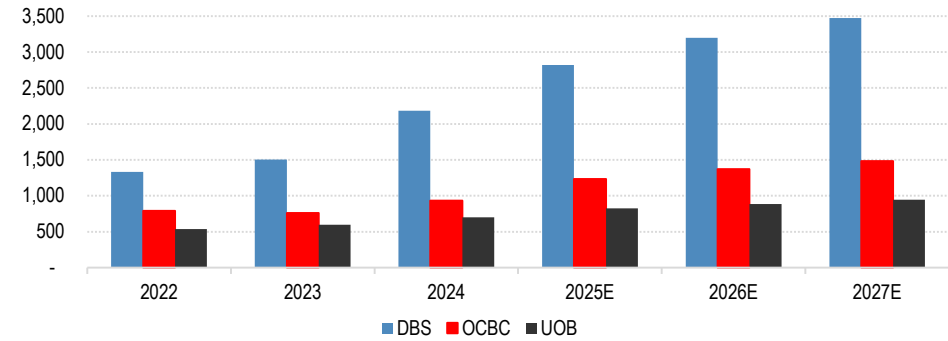
Source: Company reports and J.P. Morgan estimates.

Figure 13: OCBC: ROA (%)



Source: Company reports and J.P. Morgan estimates.

Figure 14: Singapore Banks: WM fees



Source: Company reports and J.P. Morgan estimates.

Overweight

DBSM.SI, DBS SP

Price (08 Jan 26): S\$57.34

Price Target (Dec-26): S\$70.00

APAC Banks

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	1.04	1.02A	0.99
Q2	0.98	1.00A	0.99
Q3	1.06	1.04A	1.01
Q4	0.89	0.87	0.95
FY	3.97	3.93	3.94

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	7	10	10	13
Growth	10	31	13	7	49
Momentum	25	58	13	25	16
Quality	1	13	1	16	16
Low Vol	49	46	13	28	13
ESGQ	90	87	27	26	89

DBS Group Holdings

Best-in-class capital generation and distribution

The bank continues to deliver sector-leading RoE, and the quantum of excess capital (stock and flow) as well as management's willingness to pay that out is a multi-year edge. Hence, we expect dividend yield and CoE compression for DBS to drive re-rating over course of the year. We stay with our street-high PT of S\$70 (Dec-26). Our discussions with the bank suggest a consistent focus on NII (over NIM), a gradual unwind of S\$200bn of hedges (3Y duration with about 2/3 of ~S\$80bn expiring in 2026 likely being put back on), benign asset quality, robust non-II outlook (with weak 4Q seasonality on WM, IB and treasury), steady NNM growth (even if WM transaction/fee slows in 4Q), ~5% cost growth and a commitment to return S\$8bn of capital via special dividend and buybacks; over and above 6c increase in regular quarterly cash DPS in 4Q25.

Valuation

Table 5: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	23.8	19.5	2.94	1.09	1.9%	1.01%	2.02%	12.6%
2022	8,193	2.89	19.8	19.2	2.98	1.82	3.2%	1.13%	2.35%	14.8%
2023	10,286	3.63	15.8	21.0	2.73	1.75	3.0%	1.38%	2.85%	17.9%
2024	11,408	4.01	14.3	23.4	2.45	2.22	3.9%	1.45%	3.14%	18.0%
2025E	11,249	3.97	14.4	24.6	2.33	3.06	5.3%	1.29%	3.06%	16.5%
2026E	11,188	3.98	14.4	26.0	2.21	3.30	5.8%	1.19%	2.87%	15.7%
2027E	11,867	4.26	13.5	26.5	2.16	3.48	6.1%	1.19%	2.89%	16.2%
Price (\$\$)		57.34	Number of shares (mn)			2,837	Market Cap (\$\$ mn)			162,693
Normalised RoE		PB based Valuation				PE based Valuation				
NIM (on avg. assets)		1.53%	Risk-free rate			3.85%	Fair PE			16.3x
Non-IR/revenues		40.5%	Cost of capital			8.9%	12m Rolling EPS			\$S3.98
Cost/income		41.0%	Long term growth			4.40%	PE based Fair Value			\$S64.7
Operating RoA		1.52%	Fair PB			2.59x	Implied Value of Growth			
LLP/Loans		-0.20%	PV of Terminal Value			\$S61.7	12m Rolling EPS			\$S3.98
Net RoAA		1.19%	PV of Dividends			\$S3.0	Capitalized Value (\$\$)			\$44.9
Equity/Assets		7.5%	PV of today's Fair Value			\$S64.7	Value of Growth (\$\$)			\$12.4
Normalised RoE		15.9%	PB based Dec-26 Fair Value			\$S70.4	Attributable to Growth			21.6%

Annual forecasts

Table 6: DBS: Annual P&L

S\$ mn	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,515	27,542	28,393
Interest Expense	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,994)	(13,112)	(13,229)
Net Interest Income	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,521	14,430	15,164
Non-Interest Income	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	9,051	9,763	10,376
Net Fee income	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	5,002	5,552	5,996
Trading income	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,587	1,651	1,717
Other operating income	453	179	408	1,053	542	364	1,999	2,414	2,462	2,561	2,663
Total Revenues	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,572	24,193	25,539
Costs	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,421)	(9,949)	(10,447)
PPOP	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	14,152	14,244	15,093
Loan loss provisions	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(763)	(934)	(978)
Other provisions	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(11)	(6)	(3)
Pre-Tax	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,377	13,304	14,112
Tax	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,127)	(2,115)	(2,244)
Profit before minorities	4,173	5,610	6,467	4,756	6,803	8,194	10,287	11,409	11,250	11,189	11,868
Minorities and Extra Ordinary Items	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	11,249	11,188	11,867
Non recurring items (net of tax)	331	43	(38)	-	-	-	(224)	(119)	(100)	(100)	(100)
Reported Net Profits	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	11,149	11,088	11,767

Source: Company reports and J.P. Morgan estimates.

Table 7: DBS: Annual Dupont

	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	1.98%	1.81%	1.79%
IEA/Assets	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	84.6%	85.1%	85.3%
Margins (% of avg. Assets)	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.68%	1.54%	1.52%
Non-IR contribution	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	38.4%	40.4%	40.6%
Non-IR/Avg. Assets	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.04%	1.04%	1.04%
Revenue/Assets	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.72%	2.58%	2.57%
Cost/Income	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	40.0%	41.1%	40.9%
C/Assets	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.09%	1.06%	1.05%
Pre-Provision ROA	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.63%	1.52%	1.52%
LLP/Loans	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.17%	-0.20%	-0.20%
Loan/Assets	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	51.1%	48.8%	48.0%
Other Income/Assets	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating ROA	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.54%	1.42%	1.42%
Pre-Tax ROA	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.54%	1.42%	1.42%
Tax Rate	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.9%	-15.9%	-15.9%
Minorities & Outside Int.	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Pref & other eq divs	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Core ROA	0.79%	1.02%	1.12%	0.75%	1.01%	1.13%	1.38%	1.45%	1.29%	1.19%	1.19%
ROA	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.28%	1.18%	1.18%
Core RoRWA	1.40%	1.89%	2.14%	1.47%	2.02%	2.35%	2.85%	3.14%	3.06%	2.87%	2.89%
RoRWA	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	3.03%	2.85%	2.86%
Equity/Assets	8.9%	8.6%	8.4%	8.2%	8.0%	7.7%	7.7%	8.0%	7.9%	7.6%	7.4%
Core ROE	9.0%	11.9%	13.3%	9.2%	12.6%	14.8%	17.9%	18.0%	16.5%	15.7%	16.2%
ROE	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.3%	15.6%	16.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 8: DBS: Quarterly P&L

S\$ mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	7,726	7,741	7,713	7,747	7,457	7,084	7,029	6,945	6,828	6,861	6,857	6,996
Interest Expense	(4,221)	(4,147)	(4,116)	(4,019)	(3,776)	(3,436)	(3,451)	(3,331)	(3,287)	(3,271)	(3,262)	(3,292)
Net Interest Income	3,505	3,594	3,597	3,728	3,681	3,648	3,578	3,614	3,541	3,590	3,595	3,705
Non-Interest Income	2,103	1,951	2,222	1,847	2,301	2,149	2,421	2,180	2,459	2,388	2,541	2,375
Net Fee income	1,043	1,048	1,109	968	1,275	1,167	1,357	1,203	1,395	1,339	1,460	1,358
Trading income	388	362	530	261	401	395	419	372	428	407	427	389
Other operating income	672	541	583	618	625	587	645	605	636	642	655	629
Total Revenues	5,608	5,545	5,819	5,575	5,982	5,797	5,999	5,794	5,999	5,978	6,137	6,080
Costs	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,393)	(2,544)	(2,432)	(2,420)	(2,499)	(2,597)
PPOP	3,529	3,373	3,570	3,180	3,768	3,527	3,606	3,251	3,567	3,557	3,637	3,482
Loan loss provisions	(135)	(128)	(130)	(230)	(325)	(130)	(124)	(184)	(227)	(229)	(231)	(247)
Other provisions	-	(32)	(6)	16	(6)	(9)	(6)	10	-	-	-	(6)
Pre-Tax	3,394	3,213	3,434	2,966	3,437	3,388	3,476	3,076	3,340	3,328	3,406	3,230
Tax	(432)	(416)	(414)	(336)	(531)	(573)	(531)	(492)	(534)	(533)	(545)	(503)
Profit before minorities	2,962	2,797	3,020	2,630	2,906	2,815	2,945	2,585	2,806	2,796	2,861	2,726
MI and EO	(6)	6	7	(8)	(9)	9	9	(11)	(11)	(11)	(12)	33
Core profit	2,956	2,803	3,027	2,622	2,897	2,824	2,954	2,574	2,794	2,784	2,849	2,760
Non recurring items (net of tax)	(5)	(14)	-	(100)	-	-	-	(100)	-	-	-	(100)
Reported Net Profits	2,951	2,789	3,027	2,522	2,897	2,824	2,954	2,474	2,794	2,784	2,849	2,660

Source: Company reports and J.P. Morgan estimates.

Table 9: DBS: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.96%	1.91%	1.87%	1.84%	1.81%	1.81%
IEA/Assets	86.7%	86.0%	85.9%	85.3%	84.4%	85.0%	84.0%	84.0%	84.1%	84.1%	84.1%	84.2%
Margins (% of avg. Assets)	1.85%	1.84%	1.81%	1.83%	1.79%	1.74%	1.65%	1.61%	1.57%	1.55%	1.52%	1.53%
Non-IR contribution	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	40.4%	37.6%	41.0%	39.9%	41.4%	39.1%
Non-IR/Avg. Assets	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.12%	0.98%	1.08%	1.03%	1.07%	0.99%
Revenue/Assets	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.78%	2.59%	2.63%	2.57%	2.59%	2.52%
Cost/Income	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	39.9%	43.9%	40.5%	40.5%	40.7%	42.7%
C/Assets	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.11%	1.14%	1.06%	1.04%	1.06%	1.08%
Pre-Provision ROA	1.85%	1.72%	1.81%	1.57%	1.81%	1.68%	1.67%	1.46%	1.56%	1.53%	1.54%	1.45%
LLP/Loans	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.11%	-0.17%	-0.20%	-0.20%	-0.20%	-0.21%
Loan/Assets	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	51.2%	49.9%	49.4%	49.0%	48.6%	48.3%
Other Income/Assets	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating ROA	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.62%	1.37%	1.46%	1.43%	1.44%	1.34%
Pre-Tax ROA	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.61%	1.38%	1.46%	1.43%	1.44%	1.34%
Tax Rate	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-15.3%	-16.0%	-16.0%	-16.0%	-16.0%	-15.6%
Minorities & Outside Int.	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Pref & other eq divs	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Core ROA	1.55%	1.42%	1.53%	1.29%	1.39%	1.34%	1.37%	1.15%	1.22%	1.20%	1.20%	1.15%
ROA	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.37%	1.11%	1.22%	1.20%	1.20%	1.10%
Core RoRWA	3.16%	2.93%	3.34%	3.03%	3.29%	3.19%	3.27%	2.76%	2.91%	2.85%	2.87%	2.76%
RoRWA	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	3.27%	2.65%	2.91%	2.85%	2.87%	2.66%
Equity/Assets	7.9%	7.9%	8.1%	8.1%	8.0%	7.9%	7.6%	7.5%	7.8%	7.8%	7.6%	7.5%
Core ROE	19.5%	18.0%	18.9%	15.9%	17.4%	17.0%	18.0%	15.3%	15.8%	15.4%	15.7%	15.2%
ROE	19.5%	17.9%	18.9%	15.3%	17.4%	17.0%	18.0%	14.7%	15.8%	15.4%	15.7%	14.6%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	1.7%	6.2%	5.7%	26.2%
Rel	-0.3%	1.1%	-0.7%	4.3%

Company Data

Shares O/S (mn)	2,838
52-week range (S\$)	58.80-36.30
Market cap (\$ mn)	126,887
Exchange rate	1.28
Free float (%)	71.6%
3M ADV (mn)	4.12
3M ADV (\$ mn)	174.5
Volatility (90 Day)	16
Index	FTSTI
BBG ANR (Buy Hold Sell)	10 5 3

Key Metrics (FYE Dec)

S\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	14,424	14,521	14,430	15,164
Non interest income	8,123	9,051	9,763	10,376
Operating expenses	(8,895)	(9,421)	(9,949)	(10,447)
Adj. PPOP	13,652	14,152	14,244	15,093
Provision for loan losses	(623)	(763)	(934)	(978)
Adj. PBT	12,888	13,277	13,204	14,012
Adj. net income	11,289	11,149	11,088	11,767
Adj. EPS	3.97	3.93	3.94	4.22
BBG EPS	3.97	3.97	4.00	4.27
DPS	2.22	3.06	3.32	3.50
Loans	430,594	443,203	461,214	482,861
Deposits	561,730	614,825	669,048	700,312
Total Assets	827,219	905,091	972,823	1,018,515
Margins and Growth				
NIM	2.1%	2.0%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	76.7%	72.1%	68.9%	68.9%
NPL / Loans	1.1%	1.0%	1.0%	1.1%
Coverage	127.4%	129.6%	125.4%	114.3%
CET 1	-	-	-	-
Non-int. income/ Income	36.0%	38.4%	40.4%	40.6%
Cost/Income	39.5%	40.0%	41.1%	40.9%
LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.4%	1.3%	1.2%	1.2%
ROE	17.9%	16.4%	15.6%	16.1%
Valuation				
Dividend yield	3.9%	5.3%	5.8%	6.1%
Adj. P/E	14.4	14.6	14.6	13.6
P/ BV	2.45	2.33	2.21	2.16

Summary Investment Thesis and Valuation

Investment Thesis

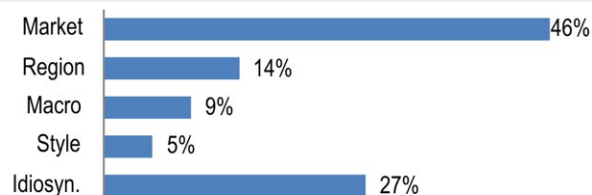
We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 202E vs. 63% in 2017). Higher rates potentially in 2027, coupled with deposit franchise (legacy S\$, incrementally US\$) will allow the bank to sustain NII growth over the next 5Y (on top of 2% NII CAGR in 2024-27).
- DBS has delivered one of the best RoE expansions in the last decade as technology and process led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.6x, assuming a normalized RoE of 15.9%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.4%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.55	0.70
Region: Singapore	0.38	0.52
Macro:		
HSI Volatility Index	0.00	-0.31
Emerging Economies CPI(YoY)	-0.16	0.24
Emerging Central Bank Rate	-0.15	-0.20
Quant Styles:		
LowVol	0.24	0.19
Value	0.07	0.18
Size	-0.29	-0.13

DBS Group Holdings (Overweight; Price Target: S\$70.00)

Investment Thesis

We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2027E vs. 63% in 2017). We think higher rates potentially in 2027, coupled with deposit franchise (legacy S\$, incrementally US\$) will allow the bank to sustain NII gr over the next 5Y (on top of 2% NII CAGR in 2024-27).
- DBS has delivered one of the best RoE expansions in the last decade as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- WM continues to underpin non-II, while asset quality appears intact. The bank has reduced its rate sensitivity, which is helping to improve capital generation visibility.
- We expect 2026 EPS to mark a low for the next 5Y. Hence, the regular DPS of S\$2.88 and part of the special can stay intact. We estimate the bank can potentially pay over \$3.30 DPS (2026E) for years to come.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.6x, assuming a normalized RoE of 15.9%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.4%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in DPS; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance on sustained inflows into SG.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration, potentially from trade-related exposure or CRE; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition would come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	27,862	30,927	28,515	27,542	28,393	Cash and cash equivalents	0	0	0	0	0
Interest expense	(14,220)	(16,503)	(13,994)	(13,112)	(13,229)	Deposits with banks	117,674	139,061	166,801	178,026	178,944
Net interest income	13,642	14,424	14,521	14,430	15,164	Net loans	416,163	430,594	443,203	461,214	482,861
Non interest income	6,752	8,123	9,051	9,763	10,376	PP&E	3,689	3,873	3,873	3,989	4,109
o/w Fee income	3,384	4,168	5,002	5,552	5,996	Net intangibles	6,313	6,372	6,372	6,372	6,372
o/w Trading income	1,369	1,541	1,587	1,651	1,717	LT investments	154,787	189,665	229,495	266,214	287,511
Net revenues	20,394	22,547	23,572	24,193	25,539	Other assets	40,675	57,654	55,348	57,008	58,719
Non interest expense	(8,056)	(8,895)	(9,421)	(9,949)	(10,447)	Total assets	739,301	827,219	905,091	972,823	1,018,515
o/w Employee costs	0	0	0	0	0	Interest earning assets	694,613	765,410	845,409	911,458	955,319
Pre-Prov. Profits	12,338	13,652	14,152	14,244	15,093	Deposits	535,103	561,730	614,825	669,048	700,312
Provisions	(591)	(623)	(763)	(934)	(978)	Borrowings	96,102	133,343	161,142	170,532	180,471
Adj. PBT	11,515	12,888	13,277	13,204	14,012	Other liabilities	48,241	65,705	59,374	60,401	64,025
Income taxes	(1,452)	(1,598)	(2,127)	(2,115)	(2,244)	Total liabilities	679,446	760,778	835,341	899,981	944,808
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	59,673	66,394	69,703	72,796	73,660
Adj. Net profit	10,062	11,289	11,149	11,088	11,767	Minority interests	182	47	47	47	47
PPOP per share	4.35	4.80	5.00	5.08	5.44	Total liabilities and Shareholder equity	739,301	827,219	905,091	972,823	1,018,515
Reported EPS	3.55	3.97	3.93	3.94	4.22	Interest bearing liabilities	604,787	604,787	698,744	767,385	817,173
Adj. EPS	3.55	3.97	3.93	3.94	4.22	Book Value Per Share	21.03	23.38	24.62	25.97	26.53
DPS	1.75	2.22	3.06	3.32	3.50	Tangible Book Value Per Share	21.03	23.38	24.62	25.97	26.53
Diluted shares outstanding	2,836	2,843	2,835	2,817	2,790						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	77.8%	76.7%	72.1%	68.9%	68.9%	Loan loss reserves/Loans	(1.4%)	(1.4%)	(1.3%)	(1.3%)	(1.2%)
Investment/Assets	20.1%	22.0%	24.2%	26.4%	27.8%	NPLs/Loans	1.1%	1.1%	1.0%	1.0%	1.1%
Loan/Assets	56.8%	54.8%	51.1%	48.8%	48.0%	Loan loss reserves/NPLs	124.3%	127.5%	128.5%	127.5%	119.6%
Customer deposits/Liabilities	78.8%	73.8%	73.6%	74.3%	74.1%	NPL y/y growth	(1.3%)	1.8%	(4.6%)	4.9%	9.8%
LT debt/Liabilities	13.7%	15.9%	18.5%	19.1%	19.0%	Tier 1 ratio	15.3%	17.7%	17.3%	16.6%	15.8%
						CAR	16.1%	18.6%	18.1%	17.4%	16.6%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.1%	2.0%	1.8%	1.8%	Return on equity (ROE)	17.6%	17.9%	16.4%	15.6%	16.1%
Non interest income/Net revenue	33.1%	36.0%	38.4%	40.4%	40.6%	Return on assets (ROA)	1.4%	1.4%	1.3%	1.2%	1.2%
Non interest income/Avg. Assets	0.9%	1.0%	1.0%	1.0%	1.0%	Operating ROA	1.6%	1.7%	1.5%	1.4%	1.4%
Efficiency ratio	39.5%	39.5%	40.0%	41.1%	40.9%	Pre-Tax ROA	1.6%	1.6%	1.5%	1.4%	1.4%
Leverage ratio	7.6%	8.0%	7.6%	7.0%	6.7%	Pre-Provision ROA	1.7%	1.7%	1.6%	1.5%	1.5%
Revenue/Assets	2.8%	2.9%	2.7%	2.6%	2.6%	Tax rate	12.6%	12.4%	16.0%	16.0%	16.0%
RORWA	2.8%	3.1%	3.0%	2.8%	2.9%						
RWA	368,363	352,002	380,138	398,858	422,684	Net loans y/y growth	0.4%	3.5%	2.9%	4.1%	4.7%
Avg. RWA	357,629	360,183	366,070	389,498	410,771	Assets y/y growth	(0.5%)	11.9%	9.4%	7.5%	4.7%
Avg. IEA	634,435	676,148	732,922	799,374	849,384	RWA y/y growth	6.2%	(4.4%)	8.0%	4.9%	6.0%
Gross Loans	422,152	436,684	449,113	467,217	488,864	Deposits y/y growth	1.5%	5.0%	9.5%	8.8%	4.7%
Avg. IBL	604,787	604,787	698,744	767,385	817,173	Net interest income y/y growth	24.7%	5.7%	0.7%	(0.6%)	5.1%
LLR	(5,989)	(6,090)	(5,910)	(6,004)	(6,004)	Revenues y/y growth	22.1%	10.6%	4.5%	2.6%	5.6%
NPLs	4,697	4,780	4,562	4,786	5,253	Adj. EPS y/y growth	22.6%	11.9%	(1.0%)	0.1%	7.2%
P/BV (x)	2.73	2.45	2.33	2.21	2.16	BVPS y/y growth	9.3%	11.1%	5.3%	5.5%	2.2%
Adj. P/E (x)	16.2	14.4	14.6	14.6	13.6	IE assets/Assets	85.6%	86.3%	84.6%	85.1%	85.3%
Dividend yield	3.0%	3.9%	5.3%	5.8%	6.1%	Margins (as % of Avg. Assets)	1.7%	1.7%	1.5%	1.4%	1.4%
Dividend payout	49.2%	55.9%	77.9%	84.3%	82.9%	LLP/Loans	(0.1%)	(0.1%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	7.7%	8.0%	7.9%	7.6%	7.4%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	13.0	12.4	12.7	13.2	13.6

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

OCBC.SI, OCBC SP

Price (08 Jan 26): S\$20.17

▲ **Price Target (Dec-26): S\$20.50**

Prior (Dec-26): S\$20.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2024A	2025E	2026E
Q1	0.44	0.42A	0.40
Q2	0.43	0.40A	0.40
Q3	0.44	0.43A	0.41
Q4	0.37	0.36	0.40
FY	1.67	1.61	1.61

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	19	10	13	1	16
Growth	13	16	16	16	55
Momentum	28	79	22	22	34
Quality	4	10	4	19	22
Low Vol	16	16	1	1	1
ESGQ	8	13	25	25	1

OCBC Bank

Fair valuations and lack of catalysts; d/g to N

The discussions did not yield any new insights, but rather did not give us reasons to believe that the excess capital at the bank will be paid out at a faster pace. We expect the incoming CEO to lay out a path for the bank's growth, during the 4Q25 briefing, with details on capital management coming later in the year. Given that the credit growth environment is relatively muted and non-II growth is fairly well understood, we do not see a further re-rating for the stock on the back of communication of organic growth plans by the bank. The bank is likely to work through the ongoing buyback (~S\$500mn remaining as per our calculations), which will be used only by late this year. Hence, the stock lacks a catalyst, which should lead to a period of consolidation.

Valuation

Table 10: OCBC: Valuation

	Net Inc (S\$ mn)	Core EPS (S\$)	Core P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)	
2021	4,812	1.07	18.9	11.5	1.76	0.53	2.6%	0.90%	2.19%	9.7%	
2022	5,691	1.27	15.9	11.4	1.76	0.68	3.4%	1.03%	2.52%	11.1%	
2023	6,986	1.55	13.0	11.8	1.71	0.82	4.1%	1.22%	3.00%	13.4%	
2024	7,519	1.67	12.1	12.7	1.59	1.01	5.0%	1.25%	3.21%	13.7%	
2025E	7,244	1.61	12.5	13.3	1.52	1.01	5.0%	1.12%	2.97%	12.4%	
2026E	7,202	1.61	12.5	13.9	1.45	1.01	5.0%	1.05%	2.73%	11.9%	
2027E	7,666	1.73	11.7	14.6	1.38	1.01	5.0%	1.05%	2.69%	12.2%	
Price (S\$)		20.17		Number of shares (mn)		4,515		Market Cap (S\$ mn)		91,068	
Normalised RoE			PB based Valuation				PE based Valuation				
NIM (on avg. assets)	1.33%		Risk-free rate			4.1%		Fair PE		11.5x	
Non-IR/revenues	38.3%		Cost of capital			9.9%		12m Rolling EPS		S\$1.61	
Cost/income	41.4%		Long term growth			4.3%		PE based Dec-26 Fair Value		S\$18.6	
Operating RoA	1.26%		Fair PB			1.40x		Implied Value of Growth			
LLP/Loans	-0.20%		PV of Terminal Value			S\$17.8		12m Rolling EPS		S\$1.61	
Net RoAA	1.08%		PV of Dividends			S\$0.9		Capitalized Value (S\$)		\$16.28	
Equity/Assets	8.8%		PV of today's Fair Value			S\$18.7		Value of Growth (S\$)		\$3.89	
Normalised RoE	12.2%		PB based Dec-26 Fair Value			S\$20.5		Attributable to Growth		19.3%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 8 Jan, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 11: OCBC: Annual P&L

S\$ mn	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	19,960	18,739	19,191
Interest Expense	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(10,885)	(9,854)	(9,863)
Net Interest Income	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,076	8,886	9,328
Non-Interest Income	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,420	5,616	5,936
Net Fee income	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,413	2,606	2,763
Trading income	946	524	1,148	1,071	855	628	1,250	1,831	1,933	1,883	1,990
Other operating income	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,073	1,127	1,183
Total Revenues	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,495	14,502	15,263
Costs	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,900)	(6,088)	(6,332)
PPOP	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,595	8,413	8,931
Loan loss provisions	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(631)	(623)	(721)
Other provisions	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(59)	(59)	(59)
Pre-Tax	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	9,024	8,984	9,554
Tax	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,534)	(1,527)	(1,624)
Profit before minorities	4,413	4,675	5,130	3,728	5,032	5,882	7,165	7,748	7,490	7,457	7,930
Minorities and Hybrids	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(177)	(186)	(195)
Core Reported profit	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,313	7,271	7,734
Exceptional/Gains on disposals	-	-	(91)	-	-	-	-	-	-	-	-
Reported Profits	4,146	4,492	4,869	3,586	4,858	5,748	7,021	7,587	7,313	7,271	7,734
Pref Dividends	57	33	59	56	46	57	35	68	68	68	68
Profits to Equity Shareholders	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,244	7,202	7,666

Source: Company reports and J.P. Morgan estimates.

Table 12: OCBC: Annual Dupont

	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.92%	1.77%	1.76%
IEA/Assets	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.2%	72.9%	72.9%
Margins (% of avg. Assets)	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.41%	1.29%	1.28%
Non-IR contribution	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	37.4%	38.7%	38.9%
Non-IR/Avg. Assets	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.84%	0.82%	0.82%
Revenue/Assets	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.25%	2.11%	2.10%
Cost/Income	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.7%	42.0%	41.5%
C/Assets	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.91%	0.89%	0.87%
Pre-Provision ROA	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.33%	1.23%	1.23%
LLP/Loans	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.19%	-0.18%	-0.20%
Loan/Assets	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.5%	49.3%	48.6%
Other Income/Assets	0.1%	0.1%	0.1%	0.1%	0.1%	0.2%	0.1%	0.2%	0.2%	0.2%	0.2%
Operating ROA	1.2%	1.1%	1.1%	0.7%	0.9%	1.1%	1.3%	1.3%	1.2%	1.1%	1.1%
Pre-Tax ROA	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.40%	1.31%	1.31%
Tax Rate	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Preference Dividends	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%
Core ROA	0.95%	0.97%	1.02%	0.70%	0.90%	1.03%	1.22%	1.25%	1.12%	1.05%	1.05%
ROA	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.13%	1.06%	1.06%
Core RoRWA	2.09%	2.27%	2.37%	1.64%	2.17%	2.49%	2.98%	3.18%	2.94%	2.71%	2.67%
RoRWA	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	2.97%	2.73%	2.69%
Equity/Assets	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.1%	9.1%	8.8%	8.7%
Core ROE	11.2%	11.4%	11.4%	7.5%	9.7%	11.1%	13.4%	13.7%	12.4%	11.9%	12.2%
ROE	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.8%	12.5%	12.0%	12.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 13: OCB: Quarterly P&L

\$ mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	5,615	5,615	5,596	5,617	5,410	4,994	4,824	4,732	4,655	4,639	4,674	4,772
Interest Expense	(3,178)	(3,185)	(3,163)	(3,162)	(3,065)	(2,711)	(2,598)	(2,510)	(2,467)	(2,448)	(2,443)	(2,496)
Net Interest Income	2,437	2,430	2,433	2,455	2,345	2,283	2,226	2,222	2,189	2,191	2,230	2,275
Non-Interest Income	1,189	1,199	1,369	961	1,310	1,264	1,570	1,276	1,382	1,371	1,418	1,446
Net Fee income	479	466	508	517	546	580	683	604	628	647	680	651
Trading income	421	439	628	343	458	458	576	441	454	454	464	511
Other operating income	289	294	233	101	306	226	311	230	299	269	274	284
Total Revenues	3,626	3,629	3,802	3,416	3,655	3,547	3,796	3,497	3,570	3,562	3,648	3,721
Costs	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,389)	(1,519)	(1,577)	(1,472)	(1,472)	(1,548)	(1,596)
PPOP	2,280	2,256	2,339	1,856	2,240	2,158	2,277	1,920	2,099	2,090	2,099	2,125
Loan loss provisions	(169)	(55)	(169)	(297)	(212)	(87)	(139)	(193)	(151)	(152)	(154)	(166)
Other provisions	(25)	(111)	(7)	84	(5)	(33)	(5)	(16)	(16)	(16)	(16)	(11)
Other income	255	243	251	245	274	263	279	302	296	305	314	337
Pre-Tax	2,341	2,333	2,414	1,888	2,297	2,301	2,412	2,014	2,228	2,227	2,244	2,285
Tax	(344)	(310)	(339)	(235)	(390)	(439)	(378)	(327)	(356)	(356)	(359)	(455)
Minorities and Hybrids	(15)	(79)	(101)	34	(24)	(46)	(56)	(51)	(51)	(51)	(51)	(32)
Core Reported profits	1,982	1,944	1,974	1,687	1,883	1,816	1,978	1,636	1,820	1,820	1,834	1,797
Exceptional/Gains on disposals	-	-	-	-	-	-	-	-	-	-	-	-
Reported Profits	1,982	1,944	1,974	1,687	1,883	1,816	1,978	1,636	1,820	1,820	1,834	1,797
Pref Dividends	17	17	17	17	17	17	17	17	17	17	17	17
Profits to Equity Shareholders	1,965	1,927	1,957	1,670	1,866	1,799	1,961	1,619	1,803	1,803	1,816	1,780

Source: Company reports and J.P. Morgan estimates.

Table 14: OCB: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.27%	2.20%	2.18%	2.15%	2.04%	1.92%	1.84%	1.82%	1.81%	1.78%	1.77%	1.77%
IEA/Assets	73.3%	74.2%	74.0%	74.0%	74.0%	74.4%	74.3%	73.7%	73.4%	73.4%	73.3%	73.3%
Margins (% of avg. Assets)	1.66%	1.63%	1.61%	1.59%	1.51%	1.43%	1.37%	1.34%	1.33%	1.30%	1.30%	1.29%
Non-IR contribution	32.8%	33.0%	36.0%	28.1%	35.8%	35.6%	41.4%	36.5%	38.7%	38.5%	38.9%	38.9%
Non-IR/Avg. Assets	0.81%	0.80%	0.91%	0.63%	0.83%	0.79%	0.97%	0.78%	0.83%	0.81%	0.83%	0.83%
Revenue/Assets	2.46%	2.43%	2.53%	2.23%	2.32%	2.21%	2.35%	2.13%	2.14%	2.11%	2.14%	2.13%
Cost/Income	37.1%	37.8%	38.5%	45.7%	38.7%	39.2%	40.0%	45.1%	41.2%	41.3%	42.4%	42.9%
C/Assets	0.91%	0.92%	0.97%	1.02%	0.90%	0.87%	0.94%	0.96%	0.88%	0.87%	0.91%	0.92%
Pre-Provision ROA	1.55%	1.51%	1.56%	1.21%	1.42%	1.35%	1.41%	1.17%	1.26%	1.24%	1.23%	1.22%
LLP/Loans	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.11%	-0.17%	-0.23%	-0.18%	-0.18%	-0.18%	-0.19%
Operating ROA	1.4%	1.5%	1.4%	1.0%	1.3%	1.3%	1.3%	1.1%	1.2%	1.2%	1.1%	1.1%
Pre-Tax ROA	1.59%	1.56%	1.61%	1.23%	1.46%	1.44%	1.49%	1.23%	1.34%	1.32%	1.31%	1.31%
Tax Rate	-14.7%	-13.3%	-14.0%	-12.5%	-17.0%	-19.1%	-15.7%	-16.2%	-16.0%	-16.0%	-16.0%	-19.9%
Preference Dividends	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Core ROA	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.21%	0.99%	1.08%	1.07%	1.06%	1.02%
ROA	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.21%	0.99%	1.08%	1.07%	1.06%	1.02%
Core RoRWA	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	3.28%	2.61%	2.81%	2.76%	2.73%	2.62%
RoRWA	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	3.28%	2.61%	2.81%	2.76%	2.73%	2.62%
Equity/Assets	9.1%	9.2%	9.2%	9.2%	9.2%	9.2%	9.0%	8.9%	8.9%	8.8%	9.0%	8.9%
Core ROE	14.6%	14.1%	14.2%	11.9%	12.8%	12.2%	13.5%	11.0%	12.2%	12.1%	11.9%	11.5%
ROE	14.6%	14.1%	14.2%	11.9%	12.8%	12.2%	13.5%	11.0%	12.2%	12.1%	11.9%	11.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.1%	7.7%	19.2%	14.9%
Rel	0.1%	2.5%	12.9%	-7.0%

Company Data

Shares O/S (mn)	4,490
52-week range (\$S)	20.25-14.21
Market cap (\$ mn)	70,628
Exchange rate	1.28
Free float (%)	85.2%
3M ADV (mn)	5.06
3M ADV (\$ mn)	71.6
Volatility (90 Day)	12
Index	FTSTI
BBG ANR (Buy Hold Sell)	11 6 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,755	9,076	8,886	9,328
Non interest income	4,718	5,420	5,616	5,936
Operating expenses	(5,742)	(5,900)	(6,088)	(6,332)
Adj. PPOP	8,731	8,595	8,413	8,931
Provision for loan losses	(690)	(631)	(623)	(721)
Adj. PBT	8,976	9,024	8,984	9,554
Adj. net income	7,519	7,244	7,202	7,666
Adj. EPS	1.67	1.61	1.61	1.73
BBG EPS	1.71	1.64	1.66	1.74
DPS	1.01	1.01	1.01	1.01
Loans	315,096	327,496	341,471	355,992
Deposits	390,687	419,478	452,740	478,707
Total Assets	625,050	664,817	708,635	745,458
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	80.7%	78.1%	75.4%	74.4%
NPL / Loans	0.9%	0.9%	0.9%	0.9%
Coverage	144.0%	142.6%	139.1%	138.0%
CET 1	-	-	-	-
Non-int. income/ Income	32.6%	37.4%	38.7%	38.9%
Cost/Income	39.7%	40.7%	42.0%	41.5%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.2%	1.1%	1.0%	1.1%
ROE	13.7%	12.4%	11.9%	12.2%
Valuation				
Dividend yield	5.0%	5.0%	5.0%	5.0%
Adj. P/E	12.1	12.5	12.5	11.7
P/ BV	1.59	1.52	1.45	1.38

Summary Investment Thesis and Valuation

Investment Thesis

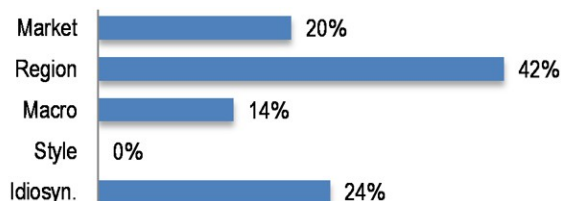
We are Neutral on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being the main acquisitions/stake increases in the last 20 years, and Lion Global being a product of the merger between OCBC/ GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025E.
- The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 1H26, with the bank guiding for limited shifts until end 2026.
- Following the rally in the last 12M, risk-reward has moved closer to fair at current valuations.

Valuation

Our Dec-26 PT of S\$20.5 is based on a fair P/B of 1.40x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.1%, a cost of capital of 9.9% and a growth rate of 4.3%

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.69	0.45
Region: Singapore	0.69	0.77
Macro:		
HSI Volatility Index	-0.65	-0.62
JPM China A-shares Sentiment	-0.15	-0.32
Citi Economic Surprise - EM	0.34	0.19
Quant Styles:		
Growth	-0.07	0.28
Momentum	0.01	0.26
Size	-0.04	0.13

Investment Thesis, Valuation and Risks

OCBC Bank *(Neutral; Price Target: S\$20.50)*

Investment Thesis

We are Neutral on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being the main acquisitions/stake increases in the last 20 years, with Lion Global being a product of the merger between OCBC/GEH AMs. The group is generating 1.13% RoA with ~11x leverage in 2025.
- The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 1H26, with the bank guiding for limited shifts until end 2026.
- We assume that absolute DPS will stay steady in 2025-27, despite EPS movements. A potential risk is if the bank allows DPS to reduce in line with EPS. We further forecast S\$500-600mn of buyback every year, which adds about 0.7% to total returns in 2026/27. However, buybacks could be lower given the bank's reluctance to buyback at significantly above book value.
- The bank is benefitting from significant inflows of funds into Singapore, and in SGD. The preference for NII growth suggests that the risks to NIM may be higher as rates reset lower.
- The bank's track record on inorganic growth could lead to near-term risks if growth in Greater China is via inorganic means and transactions are not immediately accretive.
- Following the rally in the last 12M, risk-reward has moved closer to fair at current valuations.

Valuation

Our Dec-26 PT of S\$20.5 is based on a fair P/B of 1.40x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.1%, a cost of capital of 9.9% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, a meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which could drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, lack of increases in capital return, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	20,867	22,444	19,960	18,739	19,191	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,222)	(12,689)	(10,885)	(9,854)	(9,863)	Deposits with banks	72,337	77,006	80,095	84,584	86,878
Net interest income	9,645	9,755	9,076	8,886	9,328	Net loans	292,754	315,096	327,496	341,471	355,992
Non interest income	3,862	4,718	5,420	5,616	5,936	PP&E	3,528	3,725	3,725	3,911	4,107
o/w Fee income	1,804	1,970	2,413	2,606	2,763	Net intangibles	4,501	4,504	4,504	4,504	4,504
o/w Trading income	1,250	1,831	1,933	1,883	1,990	LT investments	102,200	113,454	128,203	147,433	162,177
Net revenues	13,507	14,473	14,495	14,502	15,263	Other assets	106,104	111,265	120,794	126,731	131,800
Non interest expense	(5,223)	(5,742)	(5,900)	(6,088)	(6,332)	Total assets	581,424	625,050	664,817	708,635	745,458
o/w Employee costs	0	0	0	0	0	Interest earning assets	451,211	484,270	511,491	545,013	573,479
Pre-Prov. Profits	8,284	8,731	8,595	8,413	8,931	Deposits	363,770	390,687	419,478	452,740	478,707
Provisions	(733)	(690)	(631)	(623)	(721)	Borrowings	26,553	31,553	29,975	31,474	33,048
Adj. PBT	8,401	8,976	9,024	8,984	9,554	Other liabilities	136,797	144,580	154,675	161,666	168,354
Income taxes	(1,236)	(1,228)	(1,534)	(1,527)	(1,624)	Total liabilities	527,120	566,820	604,129	645,880	680,109
Minority interest	(144)	(161)	(177)	(186)	(195)	Shareholder equity	52,920	57,166	59,624	61,691	64,285
Adj. Net profit	6,986	7,519	7,244	7,202	7,666	Minority interests	1,384	1,064	1,064	1,064	1,064
PPOP per share	1.84	1.94	1.91	1.88	2.01	Total liabilities and Shareholder equity	581,424	625,050	664,817	708,635	745,458
Reported EPS	1.55	1.67	1.61	1.61	1.73	Interest bearing liabilities	401,207	433,805	462,175	496,936	524,985
Adj. EPS	1.55	1.67	1.61	1.61	1.73	Book Value Per Share	11.78	12.70	13.31	13.88	14.58
DPS	0.82	1.01	1.01	1.01	1.01	Tangible Book Value Per Share	11.47	12.47	13.07	13.64	14.33
Diluted shares outstanding	4,507	4,502	4,495	4,467	4,433						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	80.5%	80.7%	78.1%	75.4%	74.4%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	16.8%	17.9%	18.7%	20.1%	21.3%	NPLs/Loans	0.9%	0.9%	0.9%	0.9%	0.9%
Loan/Assets	51.8%	51.0%	50.5%	49.3%	48.6%	Loan loss reserves/NPLs	119.8%	141.5%	143.3%	140.8%	138.5%
Customer deposits/Liabilities	69.0%	68.9%	69.4%	70.1%	70.4%	NPL y/y growth	(17.1%)	0.8%	7.9%	5.4%	5.4%
LT debt/Liabilities	4.7%	5.3%	5.3%	4.9%	4.9%	Tier 1 ratio	16.5%	17.8%	17.3%	16.5%	16.0%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	-	-	-	-	-	Return on equity (ROE)	13.4%	13.7%	12.4%	11.9%	12.2%
Non interest income/Net revenue	28.6%	32.6%	37.4%	38.7%	38.9%	Return on assets (ROA)	1.2%	1.2%	1.1%	1.0%	1.1%
Non interest income/Avg. Assets	0.7%	0.8%	0.8%	0.8%	0.8%	Operating ROA	1.3%	1.3%	1.2%	1.1%	1.1%
Efficiency ratio	38.7%	39.7%	40.7%	42.0%	41.5%	Pre-Tax ROA	1.5%	1.5%	1.4%	1.3%	1.3%
Leverage ratio	6.8%	7.0%	6.9%	6.7%	6.6%	Pre-Provision ROA	1.5%	1.4%	1.3%	1.2%	1.2%
Revenue/Assets	2.4%	2.4%	2.2%	2.1%	2.1%	Tax rate	14.7%	13.7%	17.0%	17.0%	17.0%
RORWA	3.0%	3.2%	2.9%	2.7%	2.7%						
RWA	236,694	236,288	255,954	276,368	298,183	Net loans y/y growth	0.4%	7.6%	3.9%	4.3%	4.3%
Avg. RWA	234,171	236,491	246,121	266,161	287,275	Assets y/y growth	3.8%	7.5%	6.4%	6.6%	5.2%
Avg. IEA	423,065	443,419	471,992	500,784	530,166	RWA y/y growth	2.2%	(0.2%)	8.3%	8.0%	7.9%
Gross Loans	296,653	319,166	331,845	345,945	360,669	Deposits y/y growth	3.9%	7.4%	7.4%	7.9%	5.7%
Avg. IBL	395,876	414,257	444,504	475,823	506,984	Net interest income y/y growth	25.5%	1.1%	(7.0%)	(2.1%)	5.0%
LLR	(3,899)	(4,070)	(4,349)	(4,474)	(4,677)	Revenues y/y growth	15.7%	7.2%	0.2%	0.0%	5.3%
NPLs	2,805	2,827	3,050	3,216	3,389	Adj. EPS y/y growth	22.0%	7.7%	(3.5%)	0.0%	7.3%
P/BV (x)	1.71	1.59	1.52	1.45	1.38	BVPS y/y growth	3.0%	7.9%	4.8%	4.3%	5.0%
Adj. P/E (x)	13.0	12.1	12.5	12.5	11.7	IE assets/Assets	74.1%	73.5%	73.2%	72.9%	72.9%
Dividend yield	4.1%	5.0%	5.0%	5.0%	5.0%	Margins (as % of Avg. Assets)	1.6%	1.5%	1.3%	1.2%	1.2%
Dividend payout	52.9%	60.5%	62.7%	62.6%	58.4%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	9.1%	9.1%	9.1%	8.8%	8.7%
						Cost/Assets	0.9%	1.0%	0.9%	0.9%	0.9%
						Assets/Equity	10.9	11.0	11.0	11.3	11.5

Source: Company reports and J.P. Morgan estimates.
Note: \$S in millions (except per-share data). Fiscal year ends Dec

Neutral

UOBH.SI, UOB SP

Price (08 Jan 26): S\$36.01

Price Target (Dec-26): S\$34.00

APAC Banks

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2024A	2025E	2026E
Q1	0.87	0.88A	0.79
Q2	0.84	0.79A	0.80
Q3	0.95	0.25A	0.84
Q4	0.90	0.82	0.88
FY	3.56	2.74	3.31

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	1	1	1	7	10
Growth	43	19	25	19	31
Momentum	95	82	19	19	37
Quality	19	16	16	22	7
Low Vol	22	25	10	22	4
ESGQ	27	85	88	96	88

United Overseas Bank (UOB)

In a holding pattern, AQ and credit costs key to next move

The main focus for investors during our discussion was on credit costs post higher NPL formation (GC/US CRE, as well as TH) and re-architecting the WM/PB offering at UOB. The guidance of '25 to 30bps' credit costs for 4Q25 and 2026 appears reasonable, which led us to trim our provision estimates by a couple of bps. We are still forecasting 32-33bps, since there are limited grounds to be conclusive. The bank appears to have looked ahead in terms of credits risks during 3Q review, so that incremental NPL formation moves closer to 25-30bps range (3Q25 formation of S\$838mn amounts to 97bps vs. 45bps over previous 8 qtrs). On PB, UOB appears to be moving in a deliberate manner to build on a small but quite a profitable franchise. Overall, we came back less worried on UOB, and hence see the stock holding better than OCBC into 4Q25 results.

Table 15: UOB: Valuation

	Net Inc (S\$ mn)	EPS (S\$)	P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)	
2020	2,825	1.69	21.3	23.0	1.56	0.78	2.2%	0.68%	1.25%	7.5%	
2021	4,003	2.39	15.0	24.1	1.50	1.20	3.3%	0.90%	1.65%	10.2%	
2022	4,485	2.68	13.4	24.2	1.49	1.35	3.7%	0.98%	1.73%	11.7%	
2023	5,615	3.36	10.7	26.0	1.39	1.70	4.7%	1.16%	2.10%	14.2%	
2024	5,946	3.56	10.1	28.1	1.28	2.05	5.7%	1.16%	2.22%	13.6%	
2025E	4,560	2.74	13.1	28.5	1.26	1.83	5.1%	0.83%	1.68%	9.7%	
2026E	5,431	3.31	10.9	30.0	1.20	1.66	4.6%	0.94%	1.86%	11.3%	
2027E	5,967	3.69	9.8	31.9	1.13	1.84	5.1%	0.97%	1.93%	11.9%	
	Price (S\$)	36.01	Number of shares (mn)			1,663	Market Cap (S\$ mn)			59,898	
Normalised RoE			PB based Valuation				PE based Valuation				
NIM (on avg. assets)	1.62%	Risk-free rate				4.15%	Fair PE				9.38x
Non-IR/revenues	34.2%	Cost of capital				11.0%	12m Rolling EPS				S\$3.32
Cost/income	44.0%	Long term growth				4.10%	PE based 12M Fwd Fair Value				S\$31.2
Operating RoA	1.38%	Fair PB				1.08x	Implied Value of Growth				
LLP/Loans	-0.35%	PV of Terminal Value				S\$29.3	12m Rolling EPS				S\$3.32
Net RoAA	0.95%	PV of Dividends				S\$1.5	Capitalized Value (S\$)				\$30.30
Equity/Assets	8.3%	PV of today's Fair Value				S\$30.8	Value of Growth (S\$)				\$5.71
Normalised RoE	11.5%	PV of Dec-26E fair value				S\$34.1	Attributable to Growth				15.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 8th Jan, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual earnings

Table 16: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	20,239	18,593	18,940
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(10,953)	(9,393)	(9,251)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	9,286	9,200	9,689
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,662	4,880	5,112
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,551	2,704	2,866
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,823	1,859	1,896
Other operating income	285	263	260	282	319	264	259	260	328	222	289	317	349
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	13,948	14,080	14,801
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,153)	(6,276)	(6,402)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	7,794	7,804	8,399
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(2,205)	(1,217)	(1,169)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	(23)	-	-
Other income	90	6	110	106	51	98	118	97	93	121	73	91	95
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	5,639	6,678	7,325
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(970)	(1,135)	(1,245)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(11)	(13)	(14)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	4,658	5,530	6,066
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	4,560	5,431	5,967

Source: Company reports and J.P. Morgan estimates.

Table 17: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.87%	1.76%	1.76%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.1%	90.1%	90.2%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.69%	1.59%	1.58%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	33.4%	34.7%	34.5%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.85%	0.84%	0.84%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.53%	2.43%	2.42%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	44.1%	44.6%	43.3%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.12%	1.08%	1.05%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.42%	1.35%	1.37%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.64%	-0.34%	-0.31%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	63.0%	62.5%	62.0%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.01%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.02%	1.14%	1.18%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.02%	1.15%	1.20%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-17.2%	-17.0%	-17.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.02%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	0.83%	0.94%	0.97%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	0.83%	0.94%	0.97%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	1.68%	1.86%	1.93%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.54%	8.28%	8.18%
Core ROE	11.3%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	9.7%	11.3%	11.9%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	9.7%	11.3%	11.9%

Source: Company reports and J.P. Morgan estimates.

Annual earnings

Table 18: UOB: Quarterly P&L

S\$ in million	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	5,855	5,706	5,791	5,907	5,630	5,042	4,802	4,766	4,665	4,600	4,650	4,679
Interest Expense	(3,493)	(3,305)	(3,331)	(3,456)	(3,221)	(2,706)	(2,537)	(2,490)	(2,420)	(2,329)	(2,325)	(2,318)
Net Interest Income	2,362	2,401	2,460	2,451	2,409	2,336	2,265	2,276	2,245	2,271	2,324	2,361
Non-Interest Income	1,161	1,075	1,374	1,010	1,248	1,129	1,133	1,152	1,190	1,213	1,249	1,229
Net Fee income	580	618	630	567	694	636	615	606	684	664	684	672
Trading income	521	406	709	367	466	414	479	464	427	469	483	480
Other operating income	60	51	35	76	88	79	39	83	78	80	82	77
Total Revenues	3,523	3,476	3,834	3,461	3,657	3,465	3,398	3,428	3,434	3,484	3,573	3,590
Costs	(1,475)	(1,452)	(1,590)	(1,558)	(1,559)	(1,535)	(1,535)	(1,524)	(1,539)	(1,571)	(1,595)	(1,572)
PPOP	2,048	2,024	2,244	1,903	2,097	1,930	1,863	1,903	1,895	1,913	1,978	2,018
Loan loss provisions	(186)	(194)	(281)	(212)	(290)	(279)	(1,361)	(275)	(305)	(308)	(311)	(293)
Other provisions	16	(44)	(30)	(23)	(7)	(9)	(7)	0	0	0	0	0
Other income	26	30	25	40	22	(3)	25	29	23	24	24	20
Pre-Tax	1,904	1,816	1,958	1,708	1,822	1,639	520	1,657	1,613	1,629	1,691	1,745
Tax	(317)	(307)	(299)	(219)	(310)	(317)	(82)	(261)	(274)	(277)	(287)	(297)
MI & EO	(22)	(22)	(22)	51	(22)	16	5	(10)	(10)	(10)	(10)	16
Core Profit	1,566	1,488	1,638	1,540	1,490	1,338	443	1,386	1,330	1,342	1,394	1,464
Attributable profit	1,487	1,424	1,610	1,523	1,490	1,338	443	1,386	1,330	1,342	1,394	1,464
Preference dividends	25	25	25	25	25	25	25	25	25	25	25	25
Core Profits for SHs	1,541	1,463	1,613	1,515	1,466	1,313	418	1,361	1,305	1,317	1,369	1,440

Source: Company reports and J.P. Morgan estimates.

Table 19: UOB: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.02%	2.05%	2.05%	2.00%	2.00%	1.91%	1.82%	1.79%	1.77%	1.75%	1.75%	1.75%
IEA/Assets	90.5%	91.3%	90.2%	90.3%	90.8%	91.2%	90.3%	90.4%	90.7%	90.7%	90.7%	90.7%
Margins (% of avg. Assets)	1.83%	1.87%	1.85%	1.81%	1.82%	1.74%	1.65%	1.61%	1.61%	1.59%	1.58%	1.59%
Non-IR contribution	33.0%	30.9%	35.8%	29.2%	34.1%	32.6%	33.3%	33.6%	34.6%	34.8%	35.0%	34.2%
Non-IR/Avg. Assets	0.89%	0.83%	1.04%	0.75%	0.93%	0.84%	0.83%	0.82%	0.84%	0.85%	0.86%	0.83%
Revenue/Assets	2.71%	2.69%	2.90%	2.56%	2.72%	2.58%	2.49%	2.45%	2.43%	2.43%	2.46%	2.43%
Cost/Income	41.9%	41.8%	41.5%	45.0%	42.6%	44.3%	45.2%	44.5%	44.8%	45.1%	44.6%	43.8%
C/Assets	1.14%	1.13%	1.20%	1.15%	1.16%	1.14%	1.12%	1.09%	1.09%	1.10%	1.10%	1.06%
Pre-Provision ROA	1.58%	1.57%	1.70%	1.41%	1.56%	1.44%	1.36%	1.36%	1.34%	1.33%	1.36%	1.37%
LLP/Loans	-0.23%	-0.24%	-0.34%	-0.25%	-0.34%	-0.33%	-1.57%	-0.31%	-0.34%	-0.34%	-0.34%	-0.32%
Loan/Assets	62.0%	63.0%	62.5%	62.2%	63.1%	63.6%	63.5%	63.2%	63.1%	62.9%	62.6%	62.2%
Operating ROA	1.43%	1.42%	1.48%	1.25%	1.34%	1.23%	0.37%	1.16%	1.12%	1.12%	1.15%	1.17%
Pre-Tax ROA	1.47%	1.41%	1.48%	1.27%	1.36%	1.22%	0.38%	1.18%	1.14%	1.14%	1.16%	1.18%
Tax Rate	-16.6%	-16.9%	-15.2%	-12.8%	-17.0%	-19.3%	-15.8%	-15.7%	-17.0%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.02%	-0.02%	-0.02%	0.04%	-0.02%	0.01%	0.00%	-0.01%	-0.01%	-0.01%	-0.01%	0.01%
Core ROA	1.19%	1.13%	1.22%	1.12%	1.09%	0.98%	0.31%	0.97%	0.92%	0.92%	0.94%	0.97%
ROA	1.13%	1.08%	1.20%	1.11%	1.09%	0.98%	0.31%	0.97%	0.92%	0.92%	0.94%	0.97%
RoRWA	2.12%	2.00%	2.36%	2.34%	2.22%	1.96%	0.62%	1.96%	1.85%	1.84%	1.88%	1.94%
Equity/Assets	8.49%	8.66%	8.54%	8.60%	8.89%	8.95%	8.65%	8.41%	8.31%	8.29%	8.25%	8.19%
Core ROE	14.0%	13.1%	14.3%	13.1%	12.3%	10.9%	3.5%	11.6%	11.1%	11.1%	11.4%	11.9%
ROE	13.3%	12.5%	14.0%	12.9%	12.3%	10.9%	3.5%	11.6%	11.1%	11.1%	11.4%	11.9%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.7%	4.6%	1.4%	-4.7%
Rel	0.7%	-0.6%	-4.9%	-26.7%

Company Data

Shares O/S (mn)	1,652
52-week range (\$\$)	38.64-28.59
Market cap (\$ mn)	46,392
Exchange rate	1.28
Free float (%)	86.0%
3M ADV (mn)	2.97
3M ADV (\$ mn)	80.0
Volatility (90 Day)	9
Index	FTSTI
BBG ANR (Buy Hold Sell)	6 11 0

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	9,286	9,200	9,689
Non interest income	4,620	4,662	4,880	5,112
Operating expenses	(6,074)	(6,153)	(6,276)	(6,402)
Adj. PPOP	8,220	7,794	7,804	8,399
Provision for loan losses	(873)	(2,205)	(1,217)	(1,169)
Adj. PBT	7,199	5,639	6,678	7,325
Adj. net income	5,946	4,560	5,431	5,967
Adj. EPS	3.56	2.74	3.31	3.69
BBG EPS	3.59	2.81	3.43	3.68
DPS	2.05	1.83	1.66	1.84
Loans	333,930	350,850	363,460	383,872
Deposits	403,978	427,862	452,525	476,387
Total Assets	537,664	563,159	595,866	628,317
Margins and Growth				
NIM	2.0%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	82.7%	82.0%	80.3%	80.6%
NPL / Loans	1.5%	1.6%	1.7%	1.8%
Coverage	75.5%	83.2%	83.8%	85.5%
CET 1	15.5%	14.3%	14.0%	14.0%
Non-int. income/ Income	32.3%	33.4%	34.7%	34.5%
Cost/Income	42.5%	44.1%	44.6%	43.3%
LLP/Loans	(0.3%)	(0.6%)	(0.3%)	(0.3%)
ROA	1.1%	0.8%	0.9%	1.0%
ROE	13.1%	9.7%	11.3%	11.9%
Valuation				
Dividend yield	5.7%	5.1%	4.6%	5.1%
Adj. P/E	10.1	13.1	10.9	9.8
P/ BV	1.28	1.26	1.20	1.13

Summary Investment Thesis and Valuation

Investment Thesis

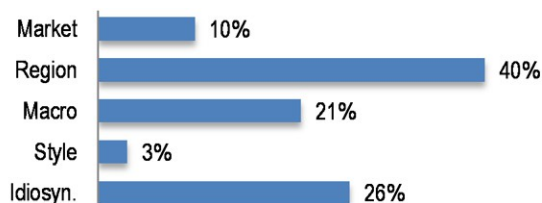
We are Neutral on UOB.

- The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD-denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks.
- We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to see the stock actively underperforming.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This could limit the upside for the stock.

Valuation

Our Dec-26 PT of S\$34 is based on a fair P/B of 1.08x with a normalized RoE of 11.5%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.41
Region: Singapore	0.72	0.78
Macro:		
HSI Volatility Index	-0.58	-0.50
JP Morgan EMBI Global Spread	-0.43	-0.28
JPM China A-shares Sentiment	-0.06	-0.25
Quant Styles:		
Growth	-0.09	0.15
Momentum	-0.14	0.14
Size	-0.15	0.07

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Neutral; Price Target: S\$34.00)*

Investment Thesis

We are Neutral on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality is incrementally showing up as a risk.
- The bank has lagged peers on WM (limited organic and inorganic build in last 15Y), as well on USD-denominated payment/deposits (26% at UOB vs. 38%/34% at DBS/OCBC). These factors, amongst others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns. Accordingly, we are now witnessing an increase in credit risks
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We expect the stock to be volatile in a wide range over the next 6M, as above-average NPL formation is likely not done yet. Yet, at 10.4/1.13x 2026E PE/PB, with ~11.6% RoE in 2026-27E, it is tough to see the stock actively underperforming.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This could limit the upside for the stock.
- Key risks include higher than anticipated NPL formation, and yet another year of 40-50bps credit costs, leading to negative revisions.

Valuation

Our Dec-26 PT of S\$34 is based on a fair P/B of 1.08x with a normalized RoE of 11.5%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Risks to Rating and Price Target

Upside risks include better-than-expected delivery on AQ, with sustained normalization of NPA formation and credit costs. On PPOP, the bank's ability to manage wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs.

Downside risks include credit cost increases, growth and NIM disappointments, and lower-than-expected dividends and buybacks. Higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	20,239	18,593	18,940	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(10,953)	(9,393)	(9,251)	Deposits with banks	87,443	76,009	66,725	72,013	76,336
Net interest income	9,679	9,674	9,286	9,200	9,689	Net loans	317,005	333,930	350,850	363,460	383,872
Non interest income	4,253	4,620	4,662	4,880	5,112	PP&E	4,508	4,852	5,240	5,502	5,722
o/w Fee income	2,235	2,395	2,551	2,704	2,866	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,823	1,859	1,896	LT investments	90,339	96,625	111,119	124,453	130,676
Net revenues	13,932	14,294	13,948	14,080	14,801	Other assets	19,241	21,269	24,247	25,459	26,732
Non interest expense	(5,777)	(6,074)	(6,153)	(6,276)	(6,402)	Total assets	523,520	537,664	563,159	595,866	628,317
o/w Employee costs	(3,553)	(3,699)	(3,625)	(3,698)	(3,771)	Interest earning assets	498,932	510,465	533,555	565,267	596,810
Pre-Prov. Profits	8,155	8,220	7,794	7,804	8,399	Deposits	385,469	403,978	427,862	452,525	476,387
Provisions	(784)	(873)	(2,205)	(1,217)	(1,169)	Borrowings	68,651	61,102	59,246	63,911	68,458
Adj. PBT	6,953	7,199	5,639	6,678	7,325	Other liabilities	25,680	25,375	28,769	30,330	31,985
Income taxes	(1,228)	(1,140)	(970)	(1,135)	(1,245)	Total liabilities	479,800	490,455	515,876	546,766	576,830
Minority interest	(14)	(14)	(11)	(13)	(14)	Shareholder equity	43,478	46,985	47,059	48,877	51,263
Adj. Net profit	5,615	5,946	4,560	5,431	5,967	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	4.69	4.76	5.19	Total liabilities and Shareholder equity	523,520	537,664	563,159	595,866	628,317
Reported EPS	3.36	3.56	2.74	3.31	3.69	Interest bearing liabilities	454,120	465,080	487,107	516,435	544,845
Adj. EPS	3.36	3.56	2.74	3.31	3.69	Book Value Per Share	26.00	28.11	28.49	29.99	31.87
DPS	1.70	2.05	1.83	1.66	1.84	Tangible Book Value Per Share	25.85	27.98	28.35	29.85	31.73
Diluted shares outstanding	1,674	1,672	1,662	1,641	1,619						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	82.0%	80.3%	80.6%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.4%)	(1.4%)	(1.5%)
Investment/Assets	15.9%	17.6%	18.9%	20.3%	20.8%	NPLs/Loans	1.5%	1.5%	1.6%	1.7%	1.8%
Loan/Assets	62.3%	62.1%	63.0%	62.5%	62.0%	Loan loss reserves/NPLs	85.1%	80.2%	79.6%	83.5%	84.7%
Customer deposits/Liabilities	80.3%	82.4%	82.9%	82.8%	82.6%	NPL y/y growth	(3.8%)	6.0%	13.1%	9.1%	8.7%
LT debt/Liabilities	14.2%	13.4%	12.0%	11.6%	11.8%	Tier 1 ratio	14.4%	16.6%	14.3%	14.0%	14.0%
						CAR	16.6%	18.2%	15.9%	15.5%	15.4%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	1.9%	1.8%	1.8%	Return on equity (ROE)	13.4%	13.1%	9.7%	11.3%	11.9%
Non interest income/Net revenue	30.5%	32.3%	33.4%	34.7%	34.5%	Return on assets (ROA)	1.1%	1.1%	0.8%	0.9%	1.0%
Non interest income/Avg. Assets	0.8%	0.9%	0.8%	0.8%	0.8%	Operating ROA	1.4%	1.4%	1.0%	1.1%	1.2%
Efficiency ratio	41.5%	42.5%	44.1%	44.6%	43.3%	Pre-Tax ROA	1.4%	1.4%	1.0%	1.2%	1.2%
Leverage ratio	7.8%	8.1%	7.3%	7.3%	7.3%	Pre-Provision ROA	1.6%	1.5%	1.4%	1.3%	1.4%
Revenue/Assets	2.7%	2.7%	2.5%	2.4%	2.4%	Tax rate	17.7%	15.8%	17.2%	17.0%	17.0%
RORWA	2.1%	2.2%	1.7%	1.9%	1.9%						
RWA	275,930	259,835	281,580	300,913	317,300	Net loans y/y growth	0.5%	5.3%	5.1%	3.6%	5.6%
Avg. RWA	267,514	267,883	270,707	291,246	309,106	Assets y/y growth	3.8%	2.7%	4.7%	5.8%	5.4%
Avg. IEA	462,994	476,735	495,910	521,940	551,986	RWA y/y growth	6.5%	(5.8%)	8.4%	6.9%	5.4%
Gross Loans	321,150	337,831	355,711	368,801	389,798	Deposits y/y growth	4.6%	4.8%	5.9%	5.8%	5.3%
Avg. IBL	434,135	434,135	449,715	473,970	501,239	Net interest income y/y growth	16.0%	(0.1%)	(4.0%)	(0.9%)	5.3%
LLR	(4,145)	(3,901)	(4,861)	(5,341)	(5,926)	Revenues y/y growth	20.4%	2.6%	(2.4%)	0.9%	5.1%
NPLs	4,870	5,164	5,840	6,373	6,926	Adj. EPS y/y growth	25.2%	6.0%	(22.8%)	20.6%	11.3%
P/BV (x)	1.39	1.28	1.26	1.20	1.13	BVPS y/y growth	7.3%	8.1%	1.4%	5.3%	6.3%
Adj. P/E (x)	10.7	10.1	13.1	10.9	9.8	IE assets/Assets	90.1%	89.8%	90.1%	90.1%	90.2%
Dividend yield	4.7%	5.7%	5.1%	4.6%	5.1%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.6%	1.5%	1.5%
Dividend payout	50.7%	57.6%	66.9%	50.0%	50.0%	LLP/Loans	(0.2%)	(0.3%)	(0.6%)	(0.3%)	(0.3%)
						Equity/Assets	8.2%	8.5%	8.5%	8.3%	8.2%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	12.2	11.7	11.7	12.1	12.2

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
09-Mar-23	N	30.64	31
30-Mar-23	UW	30.54	27
05-Oct-23	UW	30.20	28
09-Dec-23	UW	28.73	27.5
13-Mar-24	N	30.46	30
03-Jul-24	OW	37.10	41
06-Oct-24	OW	38.04	42
10-Nov-24	OW	42.40	50
11-Feb-25	OW	45.38	51
23-Mar-25	OW	45.31	49
21-May-25	N	44.38	47
13-Jul-25	N	45.99	48
08-Aug-25	N	49.75	50.5
10-Sep-25	OW	50.88	56
28-Nov-25	OW	54.00	70

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

OCBC Bank (OCBC.SI, OCBC SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
09-Mar-23	OW	12.55	13.5
30-Mar-23	UW	12.53	11.5
13-Mar-24	UW	13.09	12.5
10-May-24	NR	13.91	--
13-Jul-25	N	16.89	18
08-Aug-25	N	17.09	17.5
10-Sep-25	N	16.76	17
28-Nov-25	OW	18.27	20

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 24, 2000. All share prices are as of market close on the previous business day.

United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
30-Mar-23	N	29.95	28.5
05-Oct-23	N	28.07	28
09-Dec-23	N	27.58	27
13-Mar-24	N	28.28	30
03-Jul-24	N	31.65	32.5
06-Oct-24	N	31.86	34
10-Nov-24	OW	35.69	41
14-Jan-25	OW	36.80	43
23-Mar-25	N	37.95	40
21-May-25	N	35.40	37
13-Jul-25	N	36.86	38
08-Aug-25	N	35.81	36.5
10-Sep-25	UW	35.57	32.5
28-Nov-25	N	33.89	34

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

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